Research

The House View: Snapshot
1999 meets 1990

Deutsche Bank

Macro views

World

- Global growth at 3.0% in 2026 and 3.2% in 2027.
- Rationale: A US-Iran deal may be possible in June, which would reopen the Strait of Hormuz and see Brent crude fall to $86/bbl in Q4 and $80/bbl in 2027. Current AI boom is also buffering the US and North Asia from the energy shock.
- Key risks: War continues/worsens, oil market impact from prolonged Strait of Hormuz closure; AI sell-off sparks major market rotation. Upside risk is that there is further momentum from AI adoption/investment.

Europe

- 2026 growth cut to 0.5%. Technical recession cannot be ruled out; recovery expected from Q4, with 2027 growth of 1.1%.
- Rationale: The energy shock has significantly impacted European activity. Fading energy shock effects and Germany's fiscal spending (defence and infrastructure) will start to dominate the growth outlook in the latter part of the year.
- Key risks: If the Strait of Hormuz remains closed beyond June, it will weigh even more on growth conditions. Non-linear effects could become stronger.

China

- 2026 GDP growth forecast at 4.7% (down from 4.9%) due to softer domestic activity and policy fine-tuning.
- Rationale: Strong trade activities are expected to offset weaker domestic demand. Reflation is accelerating, driven by crude prices pass-through to downstream products. Fiscal spending slowed since April, but a rebound is likely.
- Key risks: High fuel prices reduce domestic and external demand, AI could boost productivity while negatively impacting the labour market.

United States

- 2026 growth is projected at 2.2%, supported by easy financial conditions, fiscal support and AI-driven capex.
- Rationale: Labor market has stabilized and we expect this to persist with unemployment near recent levels into year-end ~4.3%. PCE inflation forecast has risen to 3.3% YE given recent outperformance and lift from energy prices.
- Key risks: A more substantial oil price shock could weaken real disposable income; financial conditions might tighten, perhaps driven by concerns around AI disruption or (private) credit risks.

Germany

- 0.5% GDP in 2026 & 1.3% 2027. Fiscal deficit to widen to 4.1% of nominal GDP upon weaker growth.
- Rationale: Cost-related headwinds and inflation induced weakening of private consumption to persist into H2 2026. The expected normalization of the global environment, combined with the domestic fiscal stimulus, should boost growth in 2027.
- Key risks: Germany remains highly exposed to the energy cost shock and consequent deterioration of its current account.

India

- 6.7% y/y GDP for FY27 (prev. 7.5%). CPI to rise to 4.6% y/y in 2026; 4.9% y/y in FY27 given higher oil prices and risks of a sub-normal monsoon.
- Rationale: Energy shock and sub-normal monsoon challenge growth forecast.
- Key risks: If monsoon disappoints, real GDP growth could fall further to 6.3% y/y.

Key downside risks

- **H** Iran war. Prolonged Hormuz closure could push Brent towards $150/bbl, significantly hitting global growth and tipping Europe into recession.
- **M** Higher inflation / hawkish central bank pivot. Persistent inflationary pressures have also led to a shift in the monetary policy cycle, with the Euro Area and much of Asia expected to hike rates this year, whilst the Fed also faces hawkish risks.
- **M** AI. AI's job-loss and disinflation questions are overshadowed by the Iran War but will resurface post-conflict. Risks are concentrated in software/private credit, with defaults more likely a 2027–2028 story.

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Market views

Market Sentiment

- Risk assets are outperforming amidst a return of AI excitement, in addition to recent moderation in oil prices.
- Equity and credit markets have been remarkably resilient against geopolitical shocks, yet sovereign bonds like 10yr Treasuries are still trading in a tight correlation with oil prices.

Equities

- S&P 500 YE-2026 target: 8000; STOXX 600 YE-2026 target: 640.
- Strong Q1 earnings reinforce constructive outlook on equities, driven by Tech on the back of AI-related demand.
- Overweight Financials, Industrials & Healthcare; prefer US & Europe over Japan.

Rates

- 10yr UST at 4.70% YE-2026; 10yr Bund at 3.20% YE-2026.
- Fed is done cutting and on-hold at nominal neutral. Bund forecast revised based on view the ECB will hike 25bps in Jun & Sep, taking the deposit rate to 2.50%.

Credit

- YE 2026 targets: $IG 82bps; $HY 305bps; €IG 95bps; €HY 345bps.
- Global credit spreads show resilience, particularly in the US, which displays low recession risks.
- Turn underweight €-credit over $-credit due to Europe's economic sensitivity and ECB tightening.

FX

- YE-2026 targets: EUR/USD to 1.20.
- Turn neutral on the dollar as Strait of Hormuz stalemate persists. An escalation in Iran and more hawkish Fed pricing may push EUR/USD below 1.15; conversely a quick reversal in oil prices plus surprise Ukraine-Russia peace deal could support a move above 1.25. Risks are finely balanced.

Oil & Gold

- Brent $99/bbl in Q3-26; $86/bbl in Q4-26; WTI at $94/bbl in Q3-26, $81/bbl in Q4-26. Based on expectation that the Strait of Hormuz will normalize in June.
- Gold: YE-2026 target: $5,800/oz, average $6,000/oz through.

Monetary Policy

- Fed: On hold at long-run neutral Fed Funds rate of 3.63%, but hawkish risks increasing.
- ECB: 25bp hikes in June and September, taking deposit rate upper end of neutral to 2.50% in 2026.
- BoJ: Quarterly 25bps hikes starting in June, bringing policy rate to 1.75% by April 2027.
- BoE: Bank rate unchanged at 3.75% in 2026.
- PBoC: Unchanged at 1.4% through 2026.

Key macro & markets forecasts

GDP growth (%)	2026F	2027F
Global	3.0	3.2
US	2.2	2.2
Eurozone	0.5	1.1
Germany	0.5	1.3
Japan	0.7	0.7
UK	1.0	1.2
China	4.7	4.5

Central bank policy rate (%)	Current	Sep 26F	Dec 26F
US: Federal Funds Rate	3.625	3.63	3.63
Eurozone: Deposit Facility Rate	2.00	2.50	2.50
Japan: Policy Balance Rate	0.75	1.00	1.25
UK: Bank Rate	3.75	3.75	3.75
China: 7d OMO Rate	1.40	1.40	1.40

Key market forecasts	Current	Sep 26F	Dec 26F
US 10Y yield (%)	4.54	4.60	4.70
EUR 10Y yield (%)	3.04	3.10	3.20
S&P 500	7,387	7,500	8,000
Gold	4,168	5,500	5,800
EUR/USD	1.15	-	1.20
USD/JPY	160	-	150

2026 Macro events calendar

June 2026			July 2026			August 2026		
10	CA	Bank of Canada Decision	8	US	FOMC Meeting Minutes	6	EZ	ECB Economic Bulletin
11	EZ	ECB Decision	15	CA	Bank of Canada Decision	19	US	FOMC Meeting Minutes
15-16	JN	Bank of Japan Decision	23	EZ	ECB Decision			
17	US	Federal Reserve Decision	29	US	Federal Reserve Decision			
18	UK	Bank of England Decision	30	UK	Bank of England Decision			
25	EZ	ECB Economic Bulletin	31	JN	Bank of Japan Decision			

Recent editions

- 1999 meets 1990, 9 June 2026
- The Impact of the Middle East, 10 March 2026
- Anything but dull, 1 December 2025

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Appendix 1

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